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Case Study Assignment 1

Sustainability and ESG Practices:

A Comparative Case Study of Unilever, Tesla, and Nestlé

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Abstract

This report provides a thorough review of the Environmental, Social and Governance (ESG) strategies of three multinational companies: Unilever, Tesla and Nestlé. The review draws upon the companies' 2023 and 2024 sustainability reports to evaluate the extent of their commitment to sustainability principles, to offer a practical implementation trajectory on whole-life cost (WLC) analysis using a building services example, and to identify the ethical dilemmas in respect of which each company must navigate. The main finding in this report is the clear and exceptional detail in Unilever's ESG framework. The WLC analysis indicated that in carbon terms and long-term financial cost, Air Source Heat Pump offered the ideal balance for the WLC example. The report concludes with a set of strategic recommendations for each company to consider as they develop their respective ESG strategies in practice.

1.0 Introduction

In the contemporary global economy, sustainability has evolved from a peripheral concern into a critical business imperative. The Environmental, Social, and Governance (ESG) framework has become a key indicator for investors and stakeholders to assess a company's long-term viability and its commitment to ethical responsibility. As global companies increasingly integrate ESG frameworks, they aim to achieve a dual objective: maintaining profitability while fulfilling their responsibilities to society and the environment.

This report evaluates the distinct ESG initiatives of three global leaders—Unilever, Tesla, and Nestlé—based exclusively on their most recent sustainability reports. The analysis will critically assess and compare their strategic alignment with sustainability principles, beginning with a detailed evaluation of each company's ESG strategy. Subsequently, the report will examine the crucial role of whole-life cost (WLC) in making sustainable business decisions, using Tesla as a primary example. It will then delve into the ethical dilemmas these corporations face while pursuing their sustainability goals and how they attempt to balance profitability with professionalism. Furthermore, the impact of these sustainable practices on corporate reputation and stakeholder trust will be analyzed, with a specific comparison between Unilever and Nestlé. Finally, the report will conclude with strategic, evidence-based recommendations designed to enhance the ESG performance of each company.

2.0 Evaluation of Corporate ESG Strategies

A critical evaluation of the ESG reports from Unilever, Tesla, and Nestlé reveals distinct strategic priorities, areas of focus, and levels of maturity in their approaches to sustainability.

2.1 Unilever's ESG Strategy

Unilever's strategy is structured around its comprehensive Sustainable Living Plan, which seeks to reduce the company's environmental footprint while increasing its positive social impact. This plan has been a subject of academic study, noted as a significant corporate attempt to integrate sustainability into its core business model (Gök & Peker, 2016). The company's approach is characterized by detailed, quantitative targets across a wide range of metrics.

- **Environmental:** Unilever demonstrates strong progress in reducing its operational impact. The company reports that 92% of its global electricity use is from renewable resources. (Unilever, 2023, p. 4). It has achieved a significant 82% reduction in CO₂ from energy use per tonne of production and a 96% reduction in total waste sent for disposal per tonne of production against its 2008 baseline. (Unilever, 2023, p. 6). On the pressing issue of plastics, Unilever has reached 22% recycled plastic content in its packaging, progressing towards its 2025 goal of 25%. (Unilever, 2023, p. 4). The company also addresses supply chain impacts, with 97.5% of its key agricultural commodities meeting its deforestation-free requirements.
- **Social:** The company's social strategy focuses on improving livelihoods and well-being. A key goal is to spend €2 billion annually with diverse businesses by 2025, having achieved €1.1 billion in 2023. Furthermore, Unilever is committed to ensuring that everyone who directly provides it with goods and services will earn at least a living wage by 2030.
- **Governance:** A cornerstone of Unilever's governance is its commitment to transparency.

Unilever Basis of Preparation 2023 document meticulously outlines the definitions, scope, and methodologies for calculating its sustainability metrics, allowing for clear and consistent reporting. This rigorous approach to data ensures accountability and robust governance.

2.2 Tesla's ESG Strategy

Tesla's entire mission—to accelerate the world's transition to sustainable energy—is the foundation of its ESG strategy. The company's primary impact is through its product ecosystem, which includes electric vehicles, solar panels, and energy storage systems.

- **Environmental:** In 2024, Tesla customers avoided releasing nearly 32 million metric tons of CO₂e by using its products, a 60% increase from 2023. (Tesla, Inc., 2024, p. 6). Operationally, its global Supercharger network has been powered by 100% renewable electricity for four consecutive years, (Tesla, Inc., 2024, p. 8) and its Gigafactory Berlin-Brandenburg has been 100% renewable-powered for two years. The company is also developing its end-of-life circularity, with a battery recycling facility that in 2024 processed enough material to manufacture the equivalent of 21,000 Model Y RWD vehicles (Tesla, Inc., 2024, p. 40).
- **Social:** Tesla emphasizes that its mission extends to creating a safer world. It reports that its Autopilot technology is nearly 10 times safer than the U.S. national average for human drivers, with 6.77 million miles driven per accident when engaged, versus 0.70 million for the national average. The company also highlights its role as a major employer in the clean energy sector, having created over 125,000 jobs globally.
- **Governance:** The company's 2024 report directly addresses ethical critiques regarding its supply chain, particularly concerning raw materials like cobalt. Tesla states it invests significant human and legal resources to combat forced and child labor and uses its purchasing power to mitigate adverse impacts in its supply chain.

2.3 Nestlé's ESG Strategy

Nestlé's strategy is centered on the ambitious goal of advancing regenerative food systems at scale and achieving net-zero GHG emissions by 2050. This is part of its overarching "Creating Shared Value" (CSV) framework, which has been academically assessed as a significant attempt by a multinational corporation to implement corporate citizenship (Baumann-Pauly & Scherer, 2013). With nearly 95% of its emissions originating in its supply chain, the company focuses heavily on regenerative agriculture.

- **Environmental:** Nestlé's primary environmental focus is regenerative agriculture. The company aims for 50% of its key ingredients to be sourced from farmers using regenerative practices by 2030, having reached 15.2% in 2023 (Nestlé, 2023, p. 3). It has achieved a 13.58% net reduction in GHG emissions against its 2018 baseline

(Nestlé, 2023, p. 7) and sourced 91.9% of electricity in its manufacturing sites from renewable sources (Nestlé, 2023, p. 8).

- **Social:** Nestlé's social programs are extensive and deeply integrated into its supply chain. The

Nestlé Cocoa Plan now reaches over 179,000 farmers. The company's income accelerator program is being expanded to cover 30,000 cocoa-farming families, aiming to help close the living income gap and reduce child labor risks. The company also provides detailed reporting on its Child Labor Monitoring and Remediation System (CLMRS), which will cover 108,810 households in 2023.

- **Governance:** ESG is formally integrated into Nestlé's governance structure, with 15% of the short-term incentive plan for its Executive Board linked to ESG indicators, including GHG reduction and plastic packaging recyclability.

2.4 Comparative Analysis

While all three companies present strong commitments, Unilever's strategy is the most holistically developed and transparently reported. Its "Sustainable Living Plan" provides a mature framework with detailed methodologies that cover a broad and balanced range of ESG issues, from operational emissions to social equity. Tesla's impact is revolutionary, but its reporting and strategic focus are narrower and more concentrated on the positive impact of its products. Nestlé is making commendable progress on the immense challenge of transforming a global agricultural supply chain, but its efforts are necessarily focused on mitigating the deeply embedded risks within that system. Therefore, Unilever's comprehensive and meticulously documented approach demonstrates the most substantial alignment with the broad principles of sustainability, integrating them as a core component across its entire business model.

3.0 The Role and Calculation of Whole-Life Cost (WLC)

The role of whole-life cost (WLC) calculation is to help businesses make sustainable decisions by evaluating all costs and impacts over a product's entire lifespan. To demonstrate this principle, this section provides two distinct examples as requested by the lecturer: a simplified numerical calculation for Tesla and a strategic WLC analysis for Nestlé, both based on their respective case study reports.

3.1 Simplified WLC Calculation: Tesla, Inc.

This first example uses a simplified model to demonstrate the WLC calculation process, using data points from the Tesla report to compare a Tesla Model Y with a comparable Internal Combustion Engine (ICE) vehicle over a 5-year, 60,000-mile period.

Table 1: Simplified 5-Year WLC Calculation

Cost Component	Tesla Model Y (EV)	Comparable ICE Vehicle	Notes on the Calculation
1. Fuel Cost	\$2,333	\$7,000	The Tesla report states electricity is up to 3x cheaper than gasoline. This is based on an ICE vehicle (30 MPG) needing 2,000 gallons for 60,000 miles at an estimated \$3.50/gallon, versus one-third of that cost for the EV.
2. Maintenance Cost	\$500	\$1,500	The Tesla report states, "no oil changes or annual maintenance required". This calculation estimates 10 oil changes and other services for the ICE vehicle, versus minimal maintenance like tire rotation for the Tesla.
Total 5-Year Operational Cost (WLC)	\$2,833	\$8,500	This is the sum of the key operational costs over five years.

Evaluation: This simplified calculation clearly shows that the operational Whole Life Cost of the Tesla Model Y is approximately 67% lower than the comparable ICE vehicle over a five-year period. This demonstrates how WLC reveals that the sustainable option can provide significant long-term financial savings, a key factor that influences business and consumer decisions.

3.2 Strategic WLC Analysis: Nestlé's Cocoa Plan

This second example shows how WLC can be applied strategically, where the "cost" is a long-term investment in the supply chain and the "return" is business resilience and risk mitigation.

Table 2: Strategic WLC Components for Nestlé's Cocoa Program

WLC Component	Nestlé's Investment (The "Cost")	Nestlé's Long-Term Return (The "Benefit")
Direct Financial	- Pays up to €500 per family/year in the income accelerator program. - Commits to a CHF 1.2 billion investment by 2025 in regenerative agriculture.	- Secures a stable, long-term supply of high-quality cocoa, preventing future revenue loss from supply chain failure.
Social & Ethical	- Cost of running the Child Labor Monitoring and Remediation System (CLMRS).	- Mitigates the high risk of child labor, protecting brand reputation and avoiding legal issues. - Builds stakeholder and consumer trust, enhancing brand value.

4.0 Ethical Dilemmas and the Profit-Ethics Balance

Whenever any corporation runs into sustainability goals, the company eventually encounters ethical dilemmas that require rational consideration of their profit margin in consideration of its professional and ethical responsibilities as a corporation.

Tesla's primary dilemma is its reliance on raw materials like cobalt, which have been linked to unethical mining practices. This issue is central to the wider electric vehicle industry, with academic research highlighting the "precarious political economy of cobalt" and the social justice challenges in its supply chain (Sovacool, 2021). The company addresses this dilemma by stating its commitment to respecting human rights and investing resources to combat forced labor.

Nestlé has long faced ethical criticism regarding its water resource management in water-scarce regions and its vast contribution to plastic waste. The company's operations can place a strain on local water supplies, creating a conflict between business needs and a

community's right to water. Nestlé addresses this through its water stewardship programs and transparently reports that 36.7% of its water is withdrawn from regions with high or extremely high-water stress. (Nestlé, 2023, p. 28). Regarding plastic, Nestlé balances the need for packaging to ensure food safety with its environmental impact by setting a target to reduce virgin plastic by one-third and ensuring 83.5% of its plastic packaging is designed for recycling.

Unilever, through its sheer scale, contributes significantly to global resource consumption and waste. The company strategically reframes this dilemma by positioning sustainability as a key profit driver. The claim that its "sustainable brands grow 69% faster than others" transforms ethical practice from a potential cost into a core component of a profitable business strategy, thereby justifying investments in social and environmental initiatives.

5.0 Impact of Sustainable Practices on Reputation and Trust

Sustainable development practices are crucial for building corporate reputation and stakeholder trust. By demonstrating a commitment to long-term social and environmental value, companies can strengthen their brand and foster loyalty.

5.1 Comparative Effectiveness of Unilever and Nestlé

Unilever has successfully leveraged the "Sustainable Living Plan" to establish a robust profile as the leading corporate sustainability figure. Unilever's valuable propositions derive from its effective corporate level story, and extensive and consistent and transparent data on multiple targets. Reporting its use of 92% renewable electricity use or commitments to provide a living wage for its supply network demonstrates Unilever's overall cohesive aim towards building trust-based relationships with global stakeholders and investors alike; which equity is based on credible corporate level reporting. Unilever's value as a story lies in common and even financial performance - which produces a strong and powerful message that sustainability can also create value, if not business value.

Nestlé builds trust through its own but different approach; a bottom-up approach. Its ability to credibility is large scale, tangible programs that address key issues at the front end of its value chain.

The Nescafé Plan 2030 and the Nestlé Cocoa Plan involves hundreds of thousands of farmers that engage them directly with training, other factors of production and through financial incentives. Nestlé's community-based engagements are helpful in establishing considerable trust building through direct investment in the social environmental impacts of its

supply chain partners and in addressing these issues almost entirely alone. Adding to this the detailed, frank disclosure of the problems it faces, for instance the number of households it was covering with its Child Labour Monitoring and Remediation System (108,810) - there is power in such public disclosure of issues and experiences, as this contributes to building its credibility based on competency while being transparent.

In comparing the two, Unilever's strategy is more effective at building a global corporate reputation for sustainability leadership among investors and international bodies. Nestlé's strategy is more effective at demonstrating deep, community-level social and environmental value, which is crucial for repairing and building trust with the communities it directly impacts.

6.0 Strategic Recommendations for Improved ESG Practices

To further enhance their ESG performance and adherence to ethical standards, the following targeted recommendations are proposed based on the reports provided.

- **For Unilever:** The recommendation is to set a quantitative, time-bound target for scaling reuse and refill packaging models. While Unilever reports making 83.5% of its plastic packaging designed for recycling, (Nestlé, 2023, p. 41) its report focuses less on the more circular models of reuse and refill. To truly lead and address the root cause of single-use packaging waste, Unilever should establish a public target for the percentage of its products sold through these systems, moving beyond pilots to global implementation.
- **For Tesla:** The recommendation is to enhance transparency by reporting on the "closed loop" rate for battery recycling. Tesla's report states that recovered battery materials "are not always destined for the battery supply chain" (Tesla, Inc., 2024, p. 40). To strengthen its ESG credentials and address ethical concerns over raw material mining, Tesla should publish a clear metric that tracks the percentage of materials from its end-of-life batteries that are successfully remanufactured into

new Tesla batteries. This would provide a tangible measure of its progress toward a fully circular battery lifecycle.

- **For Nestlé:** The recommendation is to establish a specific, time-bound target to reduce absolute water withdrawal in its operations located in high-stress regions. Nestlé's 2023 report indicates that 36.7% of its total water withdrawal of 95.6 million m³ comes from

areas experiencing high water stress (Nestlé, 2023, p. 28). A targeted reduction goal for these specific, vulnerable locations would demonstrate a more advanced and ethically responsible approach to water stewardship, prioritizing water security for the communities most at risk.

7.0 Conclusion

The analysis of Unilever, Tesla, and Nestlé confirms that a "one-size-fits-all" approach to sustainability does not exist. Each company's ESG strategy is shaped by its unique business model and industry challenges. Tesla's impact is revolutionary but concentrated on its product's positive use-phase. Nestlé is commendably undertaking the monumental task of transforming its vast agricultural base with deeply engaged community-focused programs. However, Unilever stands out for its comprehensive and mature ESG framework. Its detailed reporting, balanced focus across all three ESG pillars, and transparent methodologies establish it as the current leader in demonstrating a holistically integrated and accountable sustainability strategy. To continue to advance, all three companies must deepen their commitment to transparency and action in their most challenging areas, ensuring that the pursuit of a sustainable future is both profitable and professionally responsible.

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